The rural urban divide was another important area where the Planning Commission had to concentrate. In the process of economic development, industrialization and urbanization increased and this had its impact on the Indian society and economy. Disparity in the development of the rural and urban population would foster inequality which is against the principle enshrined in the constitution. The Planning Commission recommended many programmes for the development of the rural economy so that the development of both the rural and urban population could be ensured.

Democratic Socialism

When India got independence, there were many problems that the nation had to handle. One among these problems was which would be the best strategy for long term development. Jawaharlal Nehru was the architect of planning in India. He was inspired by the soviet model of planning and was also inspired by the liberal principles of capitalism. He wanted to bring the two ideas together in India which was termed as democratic socialism.

Mixed Economy

The idea of a mixed economy was thus adopted which included the liberal policy of encouraging private enterprises and also promoting the public sector for the good of the society by socializing the means of production and giving powers to the state to have control over the economy. India is an inspiration to many nations for the idea of a mixed economy.

The Industrial Policy Resolution of 1956 was adopted by the Indian Parliament in April 1956. It was a guideline for the economic policy of the country. The five year plans were made on the basis of this resolution. It emphasised on more powers to the governmental machinery so that a socialistic pattern of society could be realized. The industries were divided into three categories. Firstly, there were industries which were entirely state owned. Secondly the category of industries which were state owned but the public enterprises could also be included and thirdly industries which were with the private sector. The state had control over all the industries and the third category of industries could not function only for self interest or profit motives but were regulated for the interest of the entire society. The welfare of the community was the top priority.

Planning was considered to be a prerequisite for a mixed economy. As the benefits of the public sector and the private sectors were to be integrated for the welfare of the community, the Five Years Plans were formulated in such a manner that the objectives of economic growth and social justice could be achieved. It also made the governments to formulate appropriate plans and adopt right strategies to bring about development in the right manner.

P.V.Narasimha Rao

After the introduction of economic reforms in 1991 by the Congress government led by Prime Minister P. V. Narasimha Rao, a new industrial policy was announced in July 1991 which aimed at taking steps to reduce bureaucratic control over the Indian industrial economy and liberalization so that the Indian economy

12th_Political Science_Unit_8.indd 167 1/30/2020 3:40:54 PM